

Five Important KPIs Raritone Should Track

1. Conversion Rate

Definition

Conversion Rate measures the percentage of website visitors who successfully complete a purchase. It is one of the most important KPIs in fashion e-commerce because it directly reflects how effectively the platform converts visitors into customers.

Formula

$$\text{Conversion Rate} = \frac{\text{Number of Purchases}}{\text{Total Website Visitors}} \times 100$$

Importance

A high conversion rate indicates that the website design, product presentation, pricing, and checkout process are working effectively. A low conversion rate may suggest issues such as poor user experience, slow website performance, lack of trust, or unattractive product listings.

Business Impact

Tracking conversion rate helps Raritone:

- Improve customer experience
- Optimize website design
- Increase sales revenue
- Evaluate marketing campaign effectiveness

2. Customer Retention Rate

Definition

Customer Retention Rate measures the percentage of customers who return to purchase again after their first order. This KPI shows how well the company maintains long-term relationships with customers.

Importance

In fashion e-commerce, repeat customers are extremely valuable because loyal customers are more likely to purchase new collections, seasonal products, and recommended items. Retaining existing customers is also more cost-effective than acquiring new ones.

Business Impact

Tracking customer retention helps Raritone:

- Build brand loyalty
- Increase long-term profits
- Understand customer satisfaction
- Improve personalized recommendations and services

Example

If customers regularly return to purchase clothing or accessories from Raritone, it indicates strong customer trust and satisfaction.

3. Average Order Value (AOV)

Definition

Average Order Value measures the average amount spent by customers in a single transaction.

Formula

$$\text{Average Order Value} = \frac{\text{Total Revenue}}{\text{Total Number of Orders}}$$

Importance

This KPI helps businesses understand customer purchasing behavior and spending patterns. A higher AOV means customers are purchasing more products or premium products in each order.

Business Impact

Tracking AOV helps Raritone:

- Increase revenue without increasing traffic
- Improve cross-selling and upselling strategies
- Design better discount offers and bundles
- Identify high-value customers

Example

If customers purchase both clothing and matching accessories together, the average order value increases.

4. Cart Abandonment Rate

Definition

Cart Abandonment Rate measures the percentage of users who add products to their shopping cart but leave the website without completing the purchase.

Formula

$$\text{Cart Abandonment Rate} = \frac{\text{Abandoned Carts}}{\text{Total Shopping Carts}} \times 100$$

Importance

A high cart abandonment rate is a common issue in e-commerce. It usually indicates problems in the checkout process or customer hesitation before payment.

Possible Reasons

- High shipping charges
- Complicated checkout process
- Payment failures
- Lack of trust or security
- Unexpected additional costs

Business Impact

Tracking this KPI helps Raritone:

- Improve checkout experience
- Reduce customer drop-offs
- Increase completed purchases
- Identify technical or usability issues

5. Customer Engagement Rate

Definition

Customer Engagement Rate measures how actively users interact with the platform through actions such as clicks, likes, reviews, shares, wishlists, comments, and time spent on the website.

Importance

Engaged users are more likely to become loyal customers and make purchases. This KPI reflects customer interest and overall platform attractiveness.

Business Impact

Tracking customer engagement helps Raritone:

- Understand customer interests and preferences
- Improve product recommendations
- Increase customer interaction

Example

If users frequently browse products, save items to wishlists, or write reviews, it shows strong engagement with the platform.

Conclusion

These KPIs are essential for measuring the growth and performance of a fashion e-commerce platform like Raritone. By continuously monitoring conversion rate, customer retention, average order value, cart abandonment rate, and customer engagement rate, the company can make data-driven decisions, improve customer satisfaction, and increase overall profitability.